

BEFORE THE FEDERAL MARITIME COMMISSION

MCS INDUSTRIES, INC.,
Complainant

v.

COSCO SHIPPING LINES CO., LTD. AND
MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondents.

DOCKET NO. 21-05

JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT

Petitioner MCS Industries, Inc. (“MCS Industries”) and Respondent MSC Mediterranean Shipping Company S.A, (“MSC” and, collectively with MCS Industries, the “Parties”), through undersigned counsel, having reached a global settlement to resolve all outstanding issues in the above-captioned matter and the parallel commercial arbitration between the Parties, hereby jointly move pursuant to 46 C.F.R. §§ 502.72(a)(3), 502.75, 502.5 and 502.13(c) for an order (1) permitting the filing of the settlement agreement (the “Settlement Agreement”) under seal, (2) approving the Settlement Agreement, (3) on the basis of the Settlement Agreement, dismissing MCS Industries’ fee petition in this action, with prejudice, and (4) maintaining the confidentiality of the Settlement Agreement.

The Parties, in consultation with counsel, have carefully considered the cost and risk inherent in continuing to litigate MCS Industries’ fee petition in this action, the outcome of the commercial arbitration, including without limitation the Parties’ respective requests for attorneys’ fees and costs, the shifting of the Panel’s fees and administrative costs, and the cost and risks of any potential appeals from the arbitrators’ decision, and have concluded that it is in their interests to formalize the full and final resolution of the above-captioned matter, their respective claims and

counterclaims in the related commercial arbitration, as well as all related costs and expenses, with prejudice, as set forth in the Settlement Agreement.

COMMISSION POLICY FAVORS SETTLEMENT

Commission policy “‘encourag[es] settlements and engag[es] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC v. Carlo Shipping Int’l, Inc.*, Docket No. 20- 11, 2020 FMC LEXIS 189, at *2, 2020 WL 5942148, at *2 (Fed. Mar. Comm’n Sept. 29, 2020) (Wirth, C.J.) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002)); *Mac Indus., Inc. d/b/a Mac Container Line v. Cosco Shipping Lines Co., Ltd.*, Docket No. 20-09, 2020 FMC LEXIS 181, at *3, 2020 WL 4464298, at *2 (Fed. Mar. Comm’n July 29, 2020) (Wirth, C.J.) (quoting *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. and N.J.*, 31 S.R.R. 623, 626 (Fed. Mar. Comm’n 2009) (“‘Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.’”)). Accordingly, the Commission “‘has routinely held that negotiated settlement agreements should be approved unless the agreements present one of a few defects requiring disapproval.” *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing (a. k. a. Johnny Yu) Possible Violations of Section 10 of the Shipping Act of 1984* (“*World Chance Logistics*”), Docket No. 09-07, 2010 FMC LEXIS 27 at *5, 31 S.R.R. 1346, 1350 (Fed. Mar. Comm’n 2010) (citations omitted).

The Parties’ assessment that the settlement is a fair one in light of the potential outcomes of further litigation and the desire to avoid the expense and disruption of additional litigation are the types of considerations to which the Commission has regularly deferred in approving settlements. *See World Chance Logistics*, 31 S.R.R. at 1352 (noting that “the [p]arties have

presumably weighed their respective chances of success against the cost of achieving such success, and entered into terms that reflect such risk.”) “Such calculations are common and promote efficient use of adjudicatory resources.” *Id.*

MCS Industries and MSC are both sophisticated corporate entities that have arrived at the Settlement Agreement through extensive, arm’s length negotiations that involved businesspeople and counsel on both sides. They have determined based on their careful assessment of the case that the freely negotiated arm’s length agreement between them represents a fair resolution of the matter that avoids the costs and risks of further litigation. There is no indication or evidence whatsoever of fraud, duress, undue influence, or mistake or harm to the public. *See World Chance Logistics*, 31 S.R.R. at 1350 (noting that the Presiding Officer’s review of a settlement agreement “typically includes evaluating factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake”). The Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any non-parties or the shipping public.

Accordingly, the Settlement Agreement is fair and reasonable and reflects the Parties’ desire to resolve their issues without the need for costly and uncertain litigation. For these reasons, the Parties respectfully request that the Settlement Agreement be approved and, on that basis, MCS Industries’ fee petition in this action be dismissed, with prejudice.

REQUEST FOR CONFIDENTIAL TREATMENT

The Commission routinely affords confidential treatment under 46 C.F.R. § 502.5 to settlement agreements. *See Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Docket No. 18-07, 2020 FMC LEXIS 24, at *6, 2020 WL 948582, at *3 (Fed. Mar. Comm’n Feb. 18, 2020) (Wirth, C.J.) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs.*,

Inc., Docket No. 00-04, 29 S.R.R. 68, 70 n.7 (ALJ Dec. 14, 2000) (“If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.”)). This Settlement Agreement is the result of confidential commercial negotiations between the Parties; therefore, the Parties jointly request leave to file the Settlement Agreement under seal for review and approval, and that the Settlement Agreement thereafter continue to be afforded confidential treatment by the Commission.

Respectfully submitted,

K&L GATES LLP

/s/ Michael Scanlon

Michael Scanlon
John Longstreth
1601 K St. NW
Washington, DC 20006
(202) 661-6271
michael.scanlon@klgates.com
john.longstreth@klgates.com

*Counsel for Respondent
MSC Mediterranean Shipping Company S.A.*

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HUTH REYNOLDS LLP

/s/ Matthew J. Reynolds

Matthew J. Reynolds
Karl C. Huth
41 Cannon Court
Huntington, NY 11743
(646) 872-9353
reynolds@huthreynolds.com
huth@huthreynolds.com

*Counsel for Complainant MCS Industries,
Inc.*